

PROMO SUNSET PLAN

Objective: Gradually reduce discount dependency without losing sales volume or customer loyalty.

SEGMENT 1 — IMMEDIATE ACTION

Segment → High Value + Happy customers
Size → 113 customers
Avg Spend → \$89.93
Avg Loyalty → 7.35

Why stop discounts?

These customers already have the highest loyalty scores and spend nearly \$90 per purchase WITHOUT needing discounts. Giving them discounts reduces margin with zero benefit.

Trigger Behavior → Loyalty Score above 7.0
Satisfaction Flag = Happy
Promo Dependency Score = 0

Rollout Timeline → Stop discounts immediately

Metric to Track → Monthly revenue per customer should stay above \$85 after removing discounts

SEGMENT 2 — PHASE OUT OVER 3 MONTHS

Segment → Mid Value + Happy customers
Size → 809 customers (already buying without discounts)
Avg Spend → \$60.73
Avg Loyalty → 5.42

Why stop discounts?

809 out of 1405 Mid Value Happy customers already buy without discounts. The remaining 596 can be gradually weaned off discounts.

Trigger Behavior → Loyalty Score above 5.0
Satisfaction Flag = Happy
Frequency Score above 3

Rollout Timeline → Month 1 → Reduce discount to 5%
Month 2 → Reduce discount to 2%
Month 3 → Remove completely

Metric to Track → Repeat purchase rate should stay above 60%

SEGMENT 3 — KEEP DISCOUNTS FOR NOW

Segment → High Value + Unhappy customers
Size → 39 customers
Avg Spend → \$91.28
Avg Loyalty → 7.15

Why keep discounts?

These customers spend the most (\$91.28) but are unhappy. Removing discounts risks losing our highest spending customers. Investigate why they are unhappy first.

Possible reasons → Shipping issues
→ Product quality
→ Customer service

Action → Survey these 39 customers before making any discount changes

IDEAL CUSTOMER PROFILE

Based on our data analysis the brand's most valuable customer looks like this-

Demographics-

- Age → 43 to 50 years old
- Gender → Both Male and Female equally

Purchase Behavior-

- Avg Spend → \$85 to \$92 per purchase
- Previous Purchases → 42 to 47 times
- Loyalty Score → 7.4 to 8.9
- Promo Dependency → 0 (never uses discounts)
- Subscription Status → Not a subscriber

Payment Preference-

- Uses variety of payment methods
- Bank Transfer, Credit Card, Cash, PayPal

Geographic Concentration-

- Alaska, Arizona, Rhode Island, Michigan

Shopping Frequency-

- Weekly to Fortnightly

What Makes Them Valuable-

- Spends 3x more than Low Value customers
- Has bought 45+ times previously
- Never needs discounts to buy
- Highly satisfied with the brand

TRADE OFFS-

Removing discounts from High Value Happy customers-

Risk → Small chance of losing some customers

Reward → Higher margins on \$89.93 avg purchases

Phasing out discounts from Mid Value Happy-

Risk → 596 promo-dependent customers may buy less

Reward → 809 customers already buying without discounts saving significant discount costs

Keeping discounts for High Value Unhappy-

Risk → Continued margin reduction

Reward → Retaining highest spending customers (\$91.28) while root cause is investigated